



**Financial Statements
For the Three Months Ended
30th June 2024**

**ELEVATING
FINANCE**



Alliance Finance Co. PCC
Make the world a better place through sustainable finance



The first financial institution in South Asia to receive the SSCI Certification, the world's first measurable and certifiable standard for value driven financial institutions with holistic sustainability integration to the business.

Alliance Finance Company PLC

Statement of Profit or Loss

For the three months ended 30th June	Company			Group		
	2024 (unaudited) Rs.	2023 (unaudited) Rs.	Variance %	2024 (unaudited) Rs.	2023 (unaudited) Rs.	Variance %
Gross Income	3,657,699,811	3,181,412,074	15	3,698,669,755	3,208,128,270	15
Interest income	3,439,907,683	3,065,038,318	12	3,447,276,642	3,068,877,900	12
Interest expenses	(1,596,798,889)	(2,039,586,860)	22	(1,596,802,001)	(2,034,054,273)	21
Net Interest Income	1,843,108,794	1,025,451,458	80	1,850,474,641	1,034,823,627	79
Fee and Commission Income	90,598,721	61,162,020	48	121,246,301	82,449,865	47
Net gain/(loss) from trading	30,984,452	5,187,837	497	31,649,980	4,178,614	657
Other operating income (net)	96,208,955	50,023,899	92	98,496,832	52,621,891	87
Total Operating Income	2,060,900,922	1,141,825,214	80	2,101,867,754	1,174,073,997	79
Impairment (charges) / reversal for loans and other losses	(211,746,896)	(141,579,198)	(50)	(211,746,894)	(141,579,198)	(50)
Net Operating Income	1,849,154,026	1,000,246,016	85	1,890,120,860	1,032,494,799	83
Operating Expenses						
Personnel expenses	(502,893,763)	(330,860,924)	(52)	(508,011,301)	(334,606,431)	(52)
Other operating expenses	(636,070,366)	(452,899,536)	(40)	(644,328,243)	(455,417,596)	(41)
Depreciation and amortization	(50,079,264)	(41,085,033)	(22)	(50,235,976)	(41,255,519)	(22)
Total operating expenses	(1,189,043,393)	(824,845,493)	(44)	(1,202,575,520)	(831,279,546)	(45)
Operating Profit before Taxes on Financial Services	660,110,633	175,400,523	276	687,545,340	201,215,253	242
Taxes on financial services	(203,498,425)	(63,188,719)	(222)	(203,498,425)	(63,188,719)	(222)
Operating Profit after Taxes on Financial Services	456,612,208	112,211,804	307	484,046,915	138,026,534	251
Share of profit/(loss) from associates	9,533,545	4,521,208	111	9,533,545	4,521,208	111
Profit before Taxation from Operations	466,145,753	116,733,012	299	493,580,460	142,547,742	246
Provision for income taxation	(219,088,374)	(51,617,429)	(324)	(228,828,166)	(59,341,765)	(286)
Profit for the Period	247,057,379	65,115,583	279	264,752,294	83,205,977	218
Profit attributable to :						
Equity holders of the Company	247,057,379	65,115,583	279	258,371,507	76,682,581	237
Non controlling interest	-	-	-	6,380,787	6,523,396	(2)
Profit for the Period	247,057,379	65,115,583		264,752,294	83,205,977	
Basic/ Diluted earnings per share (Annualised)	29.33	7.73		30.67	9.10	

Alliance Finance Company PLC

Statement of Comprehensive Income - Company

For the three months ended 30th June	Company			Group		
	2024	2023	Variance %	2024	2023	Variance %
	(unaudited) Rs.	(unaudited) Rs.		(unaudited) Rs.	(unaudited) Rs.	
Profit for the period	<u>247,057,379</u>	<u>65,115,583</u>	279	<u>264,752,294</u>	<u>83,205,977</u>	218
Other Comprehensive Income						
Other Comprehensive Income not to be Reclassified to Profit or Loss						
Equity investments at FVOCI -net change in fair value & realized profit/ (loss) to retained earnings	9,431,346	11,836,505	20	9,431,346	11,836,505	20
Net Other Comprehensive Income not be Classified to Profit or Loss	<u>9,431,346</u>	<u>11,836,505</u>	20	<u>9,431,346</u>	<u>11,836,505</u>	20
Total Comprehensive Income for the period	<u>256,488,725</u>	<u>76,952,088</u>	233	<u>274,183,640</u>	<u>95,042,482</u>	188
Attributable to:						
Equity holders of the company	256,488,725	76,952,088	233	267,802,853	88,519,086	203
Non controlling interest	-	-		6,380,786	6,523,396	(2)
Total Comprehensive Income for the period	<u>256,488,725</u>	<u>76,952,088</u>		<u>274,183,639</u>	<u>95,042,482</u>	

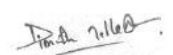
Alliance Finance Company PLC
Statement of Financial Position

As at	Company			Group		
	30.06.2024 Rs. (unaudited)	31.03.2024 Rs. (audited)	Variance %	30.06.2024 Rs. (unaudited)	31.03.2024 Rs. (audited)	Variance %
Assets						
Cash and cash equivalents	1,092,126,413	1,037,507,757	5	1,268,239,678	1,136,828,171	12
Repurchase agreements	4,019,509,186	962,606,909	318	4,019,509,186	962,606,909	318
Placements with banks & financial institutions	3,396,148,362	3,246,352,935	5	3,545,228,469	3,383,898,083	5
Financial assets recognised through profit or loss	4,101,420,824	3,508,968,758	17	4,101,420,824	3,508,968,758	17
Loans and advances - at amortised cost	25,934,315,410	23,506,870,064	10	25,934,315,409	23,506,870,064	10
Lease rentals receivable & stock out on hire - at amortised cost	22,844,376,760	22,597,190,332	1	22,844,376,760	22,597,190,332	1
Financial assets- fair value through other comprehensive income	418,007,339	317,703,694	32	418,007,339	317,703,694	32
Other trading stocks	130,033,235	85,653,478	52	130,033,235	85,653,478	52
Other financial assets	523,696,219	458,631,541	14	503,818,565	450,152,849	12
Other non financial assets	216,747,530	257,537,354	(16)	225,199,342	265,196,987	(15)
Investments in associates	119,865,729	110,332,180	9	138,018,096	128,484,547	7
Investments in subsidiaries	16,924,038	16,924,038	-	-	-	-
Investment property	187,680,000	187,680,000	-	295,680,000	295,680,000	0
Property, plant & equipment	3,268,911,544	3,202,649,652	2	3,269,103,899	3,202,950,925	2
Intangible assets	163,132,327	147,087,856	11	163,166,276	147,169,590	11
Right of use asset	345,276,108	356,347,453	(3)	345,276,108	356,347,453	(3)
Deferred tax assets	153,955,519	174,526,137	(12)	153,955,519	175,796,752	(12)
Total Assets	66,932,126,543	60,174,570,138	11	67,355,348,705	60,521,498,592	11
Liabilities						
Due to banks	24,473,975,565	20,310,185,391	21	24,509,155,492	20,310,185,391	21
Due to depositors - at amortised cost	30,607,800,176	28,387,365,249	8	30,606,979,859	28,386,553,614	8
Other financial liabilities	1,429,712,343	1,129,788,584	27	1,480,252,787	1,159,602,656	28
Other non financial liabilities	157,070,759	219,237,671	(28)	157,070,759	219,237,671	(28)
Derivative financial liabilities	99,612	5,379,033	(98)	99,612	5,379,033	(98)
Income tax liabilities	1,066,402,037	928,513,196	15	1,080,553,884	938,772,455	15
Retirement benefit liabilities	62,927,448	52,103,008	21	67,242,038	56,338,393	19
Deferred tax liabilities	715,940,127	663,298,289	8	720,149,620	668,778,398	8
Lease Liability	341,599,611	349,669,731	(2)	341,599,611	349,669,731	(2)
Total Liabilities	58,855,527,678	52,045,540,152	13	58,963,103,662	52,094,517,342	13
Shareholders' Funds						
Stated capital	613,980,000	613,980,000	-	613,980,000	613,980,000	-
Retained earnings	4,473,951,586	4,509,940,679	(1)	4,650,688,024	4,675,362,989	(1)
Reserves	2,988,667,279	3,005,109,307	(1)	2,988,667,279	3,005,109,307	(1)
Total Equity Attributable to Equity Holders of the Company	8,076,598,865	8,129,029,986	(1)	8,253,335,303	8,294,452,296	(0)
Non controlling interest	-	-	-	138,909,740	132,528,954	5
Total Equity	8,076,598,865	8,129,029,986	(1)	8,392,245,043	8,426,981,250	(0)
Total Liabilities and Shareholders' Funds	66,932,126,543	60,174,570,138	11	67,355,348,705	60,521,498,592	11
Contingent Liabilities and Commitments	904,890,967	820,666,741		904,890,967	820,666,741	
Net assets value per share (Rs.)	240	241		245	246	

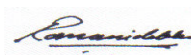
Accounting policies & notes to the accounts form an integral part of these Financial Statements.

Certification

I certify that these Financial Statements are presented in compliance with the requirements of the Companies Act No. 07 of 2007.


W.A.D.D. Tillekeratne
Chief Financial Officer


W.P.K Jayawardana
Deputy Managing Director


R.K.E.P. De Silva
Deputy Chairman & Managing Director

15-08-2024
Colombo

Alliance Finance Company PLC
Statement of Changes in Equity

Company	Stated Capital	Statutory Reserve Fund	Revaluation Reserve	General Reserve	FVOCI	Non Controlling Interest	Retained Earnings	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Balance as at 1st April 2023	613,980,000	1,002,482,237	1,223,390,151	388,258,055	(31,969,924)	-	3,761,997,661	6,958,138,180
Profit for the period	-	-	-	-	-	-	65,115,583	65,115,583
Other comprehensive income, net of tax								
Equity investments at FVOCI - net change in fair value & disposal profit	-	-	-	-	11,836,505	-	-	11,836,505
Balances as at 30th June 2023	613,980,000	1,002,482,237	1,223,390,151	388,258,055	(20,133,419)	-	3,827,113,244	7,035,090,268
Balance as at 1st April 2024	613,980,000	1,048,326,205	1,593,798,551	388,258,055	(25,273,504)	-	4,509,940,679	8,129,029,986
Profit for the period	-	-	-	-	-	-	247,057,379	247,057,379
Other comprehensive income, net of tax								
Equity investments at FVOCI - net change in fair value & disposal profit	-	-	-	-	9,431,346	-	-	9,431,346
Changes in revaluation reserve	-	-	(25,873,374)	-	-	-	-	(25,873,374)
Dividend Payable - FY 2023/24	-	-	-	-	-	-	(283,046,472)	(283,046,472)
Balances as at 30th June 2024	613,980,000	1,048,326,205	1,567,925,177	388,258,055	(15,842,158)	-	4,473,951,586	8,076,598,865

Statement of Changes in Equity

Group	Stated Capital	Statutory Reserve Fund	Revaluation Reserve	General Reserve	FVOCI	Non Controlling Interest	Retained Earnings	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Balance as at 1st April 2023	613,980,000	1,002,482,237	1,223,390,151	388,258,055	(31,969,924)	99,468,368	3,870,187,587	7,165,796,475
Profit for the period	-	-	-	-	-	6,523,396	76,682,581	83,205,977
Other comprehensive income, net of tax -								
Equity investments at FVOCI - net change in fair value & disposal profit	-	-	-	-	11,836,505	-	-	11,836,505
Balances as at 30th June 2023	613,980,000	1,002,482,237	1,223,390,151	388,258,055	(20,133,419)	105,991,764	3,946,870,168	7,260,838,957
Balance as at 1st April 2024	613,980,000	1,048,326,205	1,593,798,551	388,258,055	(25,273,504)	132,528,953	4,675,362,989	8,426,981,249
Profit for the period	-	-	-	-	-	6,380,787	258,371,507	264,752,294
Other comprehensive income, net of tax -								
Equity investments at FVOCI - net change in fair value & disposal profit	-	-	-	-	9,431,346	-	-	9,431,346
Changes in revaluation reserve	-	-	(25,873,374)	-	-	-	-	(25,873,374)
Dividend Payable - FY 2023/24	-	-	-	-	-	-	(283,046,472)	(283,046,472)
Balances as at 30th June 2024	613,980,000	1,048,326,205	1,567,925,177	388,258,055	(15,842,158)	138,909,740	4,650,688,024	8,392,245,043

Figures in brackets indicate deductions.
Accounting policies & notes to accounts form an integral part of these Financial Statements.

Alliance Finance Company PLC

Statement of Cash Flows

For the period ended 30th June	Company		Group	
	2024	2023	2024	2023
Cash Flows From / (Used in) Operating Activities	Rs.	Rs.	Rs.	Rs.
Profit before Income Tax Expense	466,145,753	116,733,012	493,580,459	142,547,742
Adjustments for;				
Depreciation of property, plant & equipment	47,148,503	38,336,033	47,257,428	38,458,603
Amortization of intangible assets	2,930,761	2,749,000	2,978,548	2,796,916
Amortization of Right of use asset	33,298,354	32,228,647	33,298,354	32,228,647
Interest expense on lease liability	12,289,775	8,770,747	12,289,775	8,770,747
Impairment (reversal)/provision	174,008,932	133,963,254	174,008,932	133,963,254
Interest on fixed deposits, commercial paper & treasury bills	(105,126,177)	(121,404,239)	(112,495,136)	(125,243,821)
Fair value (gain)/loss on equity investments (FVTPL)	(6,965,533)	-	(6,965,533)	-
Bad debt written-off	37,737,964	7,615,944	37,737,963	7,615,944
Loss/(profit) on disposal of property, plant & equipment	(4,380,577)	(4,671,000)	(4,380,577)	(4,671,000)
Profit from sale of vehicle	(10,396,197)	(2,760,074)	(10,396,197)	(2,760,074)
Provision/(reversal) for defined benefit plans	7,071,405	13,500,000	7,350,612	13,753,824
Dividend received	(7,051,138)	(2,241,606)	(7,051,138)	(2,241,606)
Share of loss/(profit) from associates	(9,533,545)	(4,521,208)	(9,533,545)	(4,521,208)
Operating Profit before Working Capital Changes	637,178,280	218,298,510	657,679,945	240,697,968
(Increase)/decrease in trading stock	(36,774,919)	11,233,025	(36,774,919)	11,233,025
(Increase)/decrease in loans and advances	(2,534,892,987)	(133,842,981)	(2,534,892,987)	(133,842,981)
(Increase)/decrease in lease rentals receivable & stock out on hire	(351,485,679)	(43,067,837)	(351,485,679)	(43,067,837)
(Increase)/decrease in fixed deposits & repo	(3,206,697,704)	827,720,676	(3,218,232,662)	822,739,293
(Increase)/decrease in other financial assets	(65,064,678)	(17,019,746)	(53,665,716)	3,324,442
(Increase)/decrease in other non financial assets	79,684,649	23,279,472	78,892,468	14,096,558
Increase/(decrease) in derivative financial liabilities	(5,279,500)	(32,395,253)	(5,279,500)	(32,395,253)
Increase/(decrease) in amounts due to depositors	2,220,434,927	1,286,975,703	2,220,426,245	1,276,236,817
Increase/(decrease) in other financial liabilities	(3,482,535)	79,457,473	17,243,837	49,574,878
Increase/(decrease) in other non financial liabilities	(62,166,912)	(7,940,967)	(62,166,912)	(8,806,119)
Cash generated from/(used in) Operations	(3,328,547,058)	2,212,698,074	(3,288,255,880)	2,199,790,791
Retirement benefit liabilities paid	3,753,034	(2,031,619)	3,553,033	(2,031,619)
Taxes paid	(33,860,451)	(48,645,311)	(39,707,663)	(53,393,761)
Net cash generated from/(used in) operating activities	(3,358,654,475)	2,162,021,144	(3,324,410,509)	2,144,365,411
Cash Flows from / (Used in) Investing Activities				
Acquisition of property, plant & equipment	(123,804,818)	(28,031,001)	(123,804,818)	(28,031,003)
Acquisition of right of use assets	(22,227,009)	(3,030,000)	(22,227,009)	(3,030,000)
Acquisition of Intangible Assets	(18,975,232)	(8,863,691)	(18,975,232)	(8,863,691)
Investment in associates	-	(25,000,000)	-	(25,000,000)
Proceeds from sales of property, plant & equipment	14,775,000	9,950,000	14,775,000	9,950,000
Proceeds from sales of vehicles	2,791,358	5,412,162	2,791,358	5,412,162
Net sales/ (purchases) of financial assets -FVTPL/FVTOCI	(676,358,832)	1,249,162,777	(676,358,832)	1,249,162,777
Dividend received	7,051,138	2,241,606	7,051,138	2,241,606
Interest on fixed deposits, commercial paper & treasury bills	105,126,177	121,404,239	112,495,136	125,243,821
Net Cash Generated from Investing Activities	(711,622,218)	1,323,246,092	(704,253,259)	1,327,085,672
Cash Flows from / (Used in) Financing Activities				
Settlement of operating lease liabilities	(38,894,825)	(42,630,216)	(38,894,825)	(42,630,216)
Net increase /(decrease) in other borrowings	4,320,806,396	(1,086,240,017)	4,320,806,396	(1,086,240,017)
Net Cash Generated from/(Used in) Financing Activities	4,281,911,571	(1,128,870,233)	4,281,911,571	(1,128,870,233)
Net Increase/(Decrease) in Cash and Cash Equivalents	211,634,878	2,356,397,003	253,247,803	2,342,580,850
Cash and cash equivalents at the beginning of the year	(283,171,510)	(2,952,136,234)	(183,851,096)	(2,894,359,487)
Cash and cash equivalents at the end of the period *	(71,536,632)	(595,739,231)	69,396,706	(551,778,637)
Movement in Cash and Cash Equivalent	211,634,878	2,356,397,003	253,247,802	2,342,580,850

Note : Reporting cash flows from operating activities

The Company reports cash flows from operating activities by using the indirect method. The indirect method – whereby profit or loss is adjusted for the effects of non-cash items, any deferrals or accruals of past or future operating cash receipts or payments, and items of income or expense associated with investing or financing cash flows – is shown in the above.

* Cash and cash equivalents at the end of the period include favourable cash balances and the Bank Overdraft balances.

Alliance Finance Company PLC

Fair Value Hierarchy

Company

Financial assets

	Fair Value Measurement using			
	Quoted Prices in Active Markets	Significant Observable Inputs	Significant Unobservable Inputs	Total
	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Rs.
As at 30th June 2024				
Financial assets - Fair value through profit and loss				
Government of Sri Lanka treasury bills	-	3,995,599,373	-	3,995,599,373
Government of Sri Lanka treasury bonds	-	105,821,451	-	105,821,451
Financial assets - Fair value through Other Comprehensive Income				
Quoted Investments	417,428,089	-	-	417,428,089
Unquoted Investments	-	-	579,250	579,250
	417,428,089	4,101,420,824	579,250	4,519,428,163
Liabilities				
Due to Depositors	-	30,607,800,176	-	30,607,800,176
Due to Banks	-	24,473,975,565	-	24,473,975,565
Derivative financial liabilities	-	99,612	-	99,612
	-	55,081,875,353	-	55,081,875,353

As at 30th June 2023

**Financial assets - Fair value through
profit and loss**

Government of Sri Lanka treasury bills	-	1,881,527,496	-	1,881,527,496
--	---	---------------	---	---------------

**Financial assets - Fair value through
Other Comprehensive Income**

Quoted Investments	193,962,875	-	-	193,962,875
Unquoted Investments	-	-	579,250	579,250
	<u>193,962,875</u>	<u>1,881,527,496</u>	<u>579,250</u>	<u>2,076,069,621</u>
Liabilities				
Due to Depositors	-	21,762,823,538	-	21,762,823,538
Due to Banks	-	19,452,510,660	-	19,452,510,660
Derivative financial liabilities	-	3,779,763	-	3,779,763
	<u>-</u>	<u>41,219,113,961</u>	<u>-</u>	<u>41,219,113,961</u>

Alliance Finance Company PLC
ANALYSIS OF FINANCIAL STATEMENTS MEASUREMENT BASIS
Company
As at 30th June 2024

	Financial assets recognized through profit or loss (FVTPL)	Financial assets at amortized cost (AC)	Financial assets at fair value through other comprehensive income(FVOCI)	Total
	Rs.	Rs.	Rs.	Rs.
Asset				
Cash and cash equivalents	-	1,092,126,413	-	1,092,126,413
Repurchase Agreements	4,019,509,186	-	-	4,019,509,186
Placement with banks and other financial institutions	-	3,396,148,362	-	3,396,148,362
Financial asset recognized through profit or loss	4,101,420,824	-	-	4,101,420,824
Loans and receivables-Amortized cost	-	25,934,315,410	-	25,934,315,410
Lease rental receivables at amortized	-	22,844,376,760	-	22,844,376,760
Financial asset recognized through other comprehensive income	-	-	418,007,339	418,007,339
Derivative financial assets	-	-	-	-
	<u>8,120,930,010</u>	<u>53,266,966,945</u>	<u>418,007,339</u>	<u>61,805,904,294</u>
Liabilities				
Due to Depositors	-	30,607,800,176	-	30,607,800,176
Due to Banks	-	24,473,975,565	-	24,473,975,565
Derivative financial liabilities	-	99,612	-	99,612
	<u>-</u>	<u>55,081,875,353</u>	<u>-</u>	<u>55,081,875,353</u>

As at 30th June 2023

	Financial assets recognized through profit or loss (FVTPL)	Financial assets at amortized cost (AC)	Financial assets at fair value through other comprehensive income(FVOCI)	Total
	Rs.	Rs.	Rs.	Rs.
Asset				
Cash and cash equivalents	-	891,091,363	-	891,091,363
Repurchase agreements	100,383,562	-	-	100,383,562
Placement with banks and other financial institutions	-	4,227,661,153	-	4,227,661,153
Financial asset recognized through profit or loss	1,881,527,496	-	-	1,881,527,496
Loans and receivables-Amortized cost	-	17,448,596,059	-	17,448,596,059
Lease rental receivables at amortized	-	21,589,029,221	-	21,589,029,221
Financial asset recognized through other comprehensive income	-	-	194,542,125	194,542,125
Derivative financial assets	-	-	-	-
	<u>1,981,911,058</u>	<u>44,156,377,796</u>	<u>194,542,125</u>	<u>46,332,830,979</u>
Liabilities				
Due to Depositors	-	21,762,823,538	-	21,762,823,538
Due to Banks	-	19,452,510,660	-	19,452,510,660
Derivative financial liabilities	-	3,779,763	-	3,779,763
	<u>-</u>	<u>41,219,113,961</u>	<u>-</u>	<u>41,219,113,961</u>

Alliance Finance Company PLC

SEGMENT REPORT - GROUP

For the three months ended 30th June

	Leaseing and Hire Purchase and Consumer Durable		Loans		Gold Loans		Other		Total	
	LKR		LKR		LKR		LKR		LKR	
	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023
Revenue	2,021,215,010	1,563,973,570	721,368,521	492,746,536	654,459,466	819,292,985	301,626,758	332,115,178	3,698,669,755	3,208,128,270
Segment results	1,509,333,262	1,236,995,141	560,435,030	376,526,845	507,064,338	733,177,394	279,754,847	313,065,598	2,856,587,477	2,659,764,978
Unallocated company expenses									(572,240,136)	(424,495,453)
Operating profit									2,284,347,341	2,235,269,525
Interest expenses	(588,587,308)	(947,547,182)	(387,746,386)	(352,048,362)	(280,444,443)	(417,495,610)	(340,023,864)	(316,963,118)	(1,596,802,001)	(2,034,054,273)
Share of profits of associates before tax									9,533,545	4,521,208
Taxes on financial services									(203,498,425)	(63,188,719)
Income tax expenses									(228,828,166)	(59,341,765)
Profit for the year									264,752,294	83,205,977
As at 31st March										
Segment assets	22,597,806,537	21,589,029,284	15,049,498,782	8,021,112,334	10,884,816,627	9,512,270,335	13,197,257,480	7,221,725,978	61,729,379,426	46,344,137,931
Investment in associates									138,018,096	126,933,588
Other assets									5,487,951,185	4,267,560,167
Total assets									67,355,348,705	50,738,631,688
Segment liabilities	20,909,101,342	19,061,386,273	12,706,732,057	6,678,170,180	9,190,369,086	7,919,669,673	11,142,830,492	6,012,621,773	53,949,032,977	39,671,847,899
Other liabilities									5,014,070,685	3,805,944,831
Total liabilities									58,963,103,662	43,477,792,729

Alliance Finance Company PLC

Explanatory Notes

1 These Interim Financial Statements have been prepared in accordance with the requirements of Sri Lanka Accounting Standard -LKAS 34 on 'Interim Financial Reporting'.

2 The accounting policies adopted in the preparation of these Interim Condensed Consolidated Financial Statements are consistent with those followed in the preparation of the Company's Annual Consolidated Financial Statements for the year ended 31 March 2024.

3 Expected Credit Loss Computation

The Company's estimated Expected Credit Loss (ECL) was based on the Probability of Default (PD), Loss Given Default (LGD) and Economic Factor Adjustment (EFA) applying a range of forecasted economic conditions prevailed as at that date.

Given the uncertainty in the macroeconomic environment, an additional ECL impairment was made using a management overlay, alongside the modeled ECL impairment, to ensure that the overall ECL impairment is adequate to cover unforeseen risk factors in this volatile environment. The company will continue to monitor external developments and make further necessary adjustments to the management overlays in the future.

4 Going Concern

In determining the basis of preparing the Financial Statements for the quarter ended 30th June 2024, the management has assessed the existing and anticipated effects of macro economic factor fluctuations on the Company and the management is in the view of appropriateness of the use of the going concern basis.

5 Commitments & Contingencies

	30th June 2024	31st March 2024
	Rs.	Rs.
Commitments & Contingencies	904,890,967	820,666,741

Commitments & Contingencies represent the tax assessments issued by the Department of Inland Revenue. The Company has formally objected to the tax assessments stating the reasons on which the Company believes that assessments are arbitrary and excessive. Company has also actively engaged with the Department of Inland Revenue to conclude these pending assessments.

There are no significant changes in the nature of the Contingent Liabilities other than disclosed above.

6 There were no other material events that took place since March 2024, that require disclosure in these Interim Financial Statements other than mentioned below.

7 The company declared a final cash dividend of Rs 8.4 per share for the financial year ended 31st March 2024, which was approved at the Annual General Meeting on 28th June 2024 and is payable at the quarter end, 30th June 2024.

8 During the quarter, there were no material changes in the composition of assets, liabilities and/or contingent liabilities, other than those disclosed above.

9 All known expenses including management fees and other similar expenses have been provided for the year ended 30th June 2024.

Alliance Finance Company PLC
Explanatory Notes (Continued.)

Selected Performance Indicators		
	30th June 2024	30th June 2023
Capital Adequacy (%)		
Tier 1 Capital Adequacy Ratio (minimum 8.5%)	11.31%	11.88%
Total Capital Adequacy Ratio (minimum 12.5%)	13.97%	15.77%
Capital Funds to Deposit Liabilities Ratio	21.43%	27.72%
Profitability (%)		
Return on average shareholders funds (before tax)	23.01%	6.67%
Return on average assets (before tax)	2.93%	0.91%
Liquidity ('000)		
Required Minimum Amount of Liquid Assets	3,106,211	2,236,123
Available Amount of Liquid Assets	9,142,776	2,561,188
Required Minimum Amount of Government Securities	1,779,203	1,455,885
Available Amount of Government Securities	8,293,311	1,982,782
Quality of Loan Portfolio (%)		
	90 DPD	90 DPD
Gross Non-Performing Loans Ratio	9.42%	18.34%
Net-Non-Performing Loans Ratio	5.49%	14.05%

Note :-

In classifying non performing loans to performing loans, the company has considered the extension given by the CBSL to adopt the section 4.3.1(i) of Direction No 1 of 2020.

Alliance Finance Company PLC

Shareholders' Information

Market price per share

Quarter ended 01st April to 30th June	2024	2023
Highest Price	115.50	92.00
Lowest Price	90.50	67.60
Last Traded	112.00	91.00

Stated capital

As at 30th June 2024, the Stated Capital was Rs. 613,980,000/- comprising of 33,696,000 ordinary shares issued.

Directors'/ CEO's Holding in Shares as at 30th June 2024

No	Name of Director	No. of Shares
1	Mrs.G.S.T. Dharmakirti-Herath	100
2	Mr.R.K.E.P. De Silva	11,881,184
3	Mr.W.P.K. Jayawardana	42,750
4	Mr.M.J. Benedict	1,000
5	Mrs.P. De Silva	100
6	Mr.L.J.H. De Silva	3,052
7	Mr.D.L.I. Hettiarachchi	100

Twenty Largest Ordinary Shareholders as at 30th June 2024

No.	Name of Shareholder	No. of Shares	%
1	Mr.R.K.E.P. de Silva	11,881,184	35.26
2	Motor Service Station (Pvt) Ltd.,	4,647,133	13.79
3	Mrs D.M.E.P. Perera	2,544,909	7.55
4	Mr.D.F.W.S.K. Perera & Mr.D.F.W. Perera	1,483,984	4.40
5	Orient Hotels Ltd.,	1,358,323	4.03
6	Mrs.S.E. Canekaratne	612,268	1.82
7	Mr.D.L.S.R. Perera	553,556	1.64
8	Mrs.C.R. de Silva	374,400	1.11
9	Mr. D.F.W. Perera	363,243	1.08
10	Ms.D.C.M.A. Perera	357,042	1.06
11	Hatton National Bank PLC/Mr.K.K. Shujeevan	334,434	0.99
12	Ms.D.D.P.T. Perera	319,384	0.95
13	J B Cocoshell (Pvt) Ltd.	311,820	0.93
14	Mrs.P.N. Weththasinghe	299,975	0.89
15	Mrs.A.S. Wijewardena	259,200	0.77
16	Mr.R.C.D. De Silva	238,242	0.71
17	Mr.S.C. Weerasooria	213,680	0.63
18	Mr.G.P. Kapilasena	201,180	0.60
19	Mrs.K.G.G.S.L. Perera	201,066	0.60
20	Mrs.N.U. Silva	172,105	0.51

Alliance Finance Company PLC

Shareholders' Information

Public Shareholding as at 30th June 2024

No of Shares	%
17,093,819	50.73

No of Shareholders

The percentage of ordinary shares held by the public as at 30th June 2024 was 50.73% and the number of shareholders representing the public holding was 1,815.

Float Adjusted Market Capitalization

The Float adjusted market capitalization as at 30th June 2024 - Rs. 1,914,507,728/- and the Company falls under Option 5 of Rule 7.13.1 (a), of the Listing Rules of the Colombo Stock Exchange and the Company has complied with the minimum public holding requirement applicable under the said option.

Alliance Finance Company PLC

Corporate Information

Name of the Company

Alliance Finance Company PLC

Statutory Status

Quoted Public Limited Liability Company, Incorporated on 18th July 1956. Approved and registered under the Finance Business Act No.42 of 2011 and Finance Leasing Act No.56 of 2000. An approved Credit Agency under the Mortgage Act No.06 of 1949 and the Trust receipt Ordinance No.12 of 1947.

Company Registration

Registered under the Companies Act No.07 of 2007.
Company Registration number PQ 93

Registered Office

Alliance House, No.84, Ward Place, Colombo 07.
Tel : 011 2673673 Fax: 011 2697205
e mail : info@alliancefinance.lk

Board of Directors

Mrs.Tamara Dharmakirti Herath - *Chairperson*
Mr. Romani de Silva - F.I.C.M.(SL) - *Deputy Chairman / Managing Director*
Mr.Kusal Jayawardana - CFA, MBA, ACMA. CGMA - *Deputy Managing Director*
Mr. Michael Joseph Benedict - MBA, CMA, CMSLIM - *Executive Director Recoveries*
Mrs. Priyanthi de Silva - FCMA, CGMA, FCPA - *Independent Non Executive Director*
Mr.Hiran de Silva - *Independent Non Executive Director*
Mr. Lasantha Ivers Hettiarachchi - LL.M,DCL, Attorney at Law -*Independent Non Executive Director*

Secretaries

Alliance Management Services (Pvt) Ltd.
No. 84, Ward Place
Colombo 07.

Legal Consultants

Gunawardene Ranasinghe Associates
Sudath Perera Associates

Board Audit Committee

Mrs. Priyanthi de Silva - *Chairperson*
Mrs.Tamara Dharmakirti Herath
Mr.Hiran de Silva

Remuneration Committee

Mr.Lasantha Ivers Hettiarachchi - *Chairman*
Mrs.Tamara Dharmakirti Herath
Mr.Hiran de Silva

Related Party Transaction Review Committee

Mr.Lasantha Ivers Hettiarachchi - *Chairman*
Mrs.Tamara Dharmakirti Herath
Mr.Hiran de Silva

Board Integrated Risk Management Committee

Mrs. Priyanthi de Silva - *Chairperson*
Mrs.Tamara Dharmakirti Herath
Mr.Hiran de Silva

Auditors

M/s Deloitte Associates
Chartered Accountants,
No.11, Castle Lane,
Colombo 04.

Advisory Council

Mrs. K.S.K. de Silva
Mr. B. Ponnambalam
Mr. K. Kanag Isvaran
Mr.S.P. Morawake - Former Registrar of Companies

Bankers

Sampath Bank PLC
Seylan Bank PLC
Public Bank Berhad
People's Bank
Hatton National Bank PLC
Commercial Bank of Ceylon PLC
Bank of Ceylon
Nations Trust Bank PLC
Union Bank of Colombo PLC
DFCC Bank PLC
NDB Bank PLC
Cargills Bank